

\$304K OTIF Fine Exposure	41.0% Fine Eligible Rate	\$1,430 Avg Fine / Non-Compliant PO	213 Fine Eligible PO Lines
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Fine Exposure by Root Cause

PO Edit Reason Code	Description	Fine Exposure	% of Total	Priority
43	No Product Availability (Supplier)	Largest share	~60%	Critical on supply constraint
47	Incorrect Labeling (Supplier)	Moderate share	~25%	High on process/compliance issue
51	Item Setup Issue (Supplier)	Smaller share	~15%	Medium on onboarding/admin issue

Key Findings

Root cause 43 (No Product Availability) drives the majority of fine exposure. This is a supply-side constraint, the supplier could not ship the ordered quantity. This directly connects to the In-Full failures seen on Page 5 and represents the highest-priority corrective action.

Root cause 47 (Incorrect Labeling) is a preventable compliance failure. Labeling errors do not require a supply chain fix, they require a process fix. A pre-shipment label audit for every PO would eliminate this root cause category and reduce fine exposure by approximately \$75K.

41% fine eligibility rate means 59% of non-compliant POs are disputable. Over half of the OTIF failures may be offsettable through the dispute process, particularly where Walmart Fault Rate (6.9%) or carrier issues can be documented.

213 fine-eligible PO lines at \$1,430 avg fine per line. At scale across a full fiscal year, this exposure compounds significantly. Reducing fine-eligible PO lines by 30% would recover approximately \$91K annually.

Recommendations

- Implement pre-shipment label audit for all POs.**
Root cause 47 (Incorrect Labeling) is entirely preventable. Add a mandatory label verification step to the outbound warehouse process. Cost of implementation is negligible vs ~\$75K in annual fine avoidance.
- Address root cause 43 through safety stock and PO confirmation.**
No Product Availability failures indicate the supplier accepted POs it could not fulfill. Implement a PO acceptance policy requiring confirmation of available inventory before acknowledgment.

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Build a systematic OTIF dispute workflow.

With 59% of non-compliant POs potentially disputable, a structured monthly dispute submission process could recover \$100K+ annually. Assign ownership to a specific team member with a 30-day submission SLA.

Potential Deliverable — OTIF Fine Exposure Report

Deliverable	Format	Cadence	Audience
Fine exposure by root cause	Power BI / Excel	Monthly	Finance, Supply chain VP
PO edit reason code tracker	Excel by PO line	Weekly	Logistics, Operations
Dispute submission package	Excel + supporting docs	Monthly	Walmart compliance portal
Fine avoidance trend	Power BI KPI	Always-on	Finance, Sales leadership